i. Sender
The person who intends to make contract with the objective of passing information, ideas to other persons is known as sender.

ii. Ideas
This is the subject matter of communication. This might be opinion, attitude, feelings, views, suggestions, orders etc.

iii. Encoding
Since the subject matter of communication is abstract and intangible, its transmission requires the use of certain symbols such as words, actions, pictures, etc. Conversion of the subject matter in to these symbols is the process of encoding.

iv. Channel
These symbols are transmitted through certain channels, e.g. radio, telephone, air, etc., depending upon the situation of the two parties, viz., sender and receiver.

v. Receiver
Receiver is the person to whom message is meant for.

vi. Decoding
Receiver converts the symbols received from the sender to give him the meaning of the message.

vii. Feedback
Feedback is necessary to ensure that the receiver has received the message and understands it in the same sense as sender wants.

7.17 Benefits of Communication

1. **Communication is the basis of organisational functioning:**

   Communication is the basis of organisational functioning. It is only when necessary communications are given to the subordinates about their job, action on their part is possible.

2. **Communication as an aid to planning:**

   Communication is an aid to the process of decision making in general and planning, in particular. Any type of decision making (including planning) requires, basic information about the enterprise resources and limitations, and the external environmental factors, which must be supplied i.e. communicated to the management by suitable agencies.

3. **Communication as an aid to leadership:**

   A leader communicates the objectives, policies, rule and procedures of the enterprise to followers and also communicates the necessary work-orders, instructions and guidance to them, for the proper execution of the intended jobs, to be performed by the group.

4. **Communication as an aid to co-ordination:**

   Co-ordination is greatly facilitated when persons doing similar work or related aspects of work, are in perfect mutual understanding with one another – as to the manner and approach to work performance.

5. **Communication helps in overcoming resistance:**

   People, in general resist to changes when changes are either not properly communicated to them or the purpose behind introducing such changes is not explained to them.

6. **Communication as the basis of good human relations:**

   Communication promotes good human relations, in the organisational life. Apparently communication is transfer of messages; while intrinsically it is transmission of understanding among the sender

XII OSS_English version CHAPTER 07.indd 91 1/7/2020 6:03:14 PM